EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Buguey was founded and created on May 20, 1623 as a town by virtue of the Royal Decree issued by the King of Spain. The Municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the Municipality of Lal-lo, on the east by the Municipality of Sta Teresita (former part of Buguey), and on the west by the Municipality of Aparri.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Buguey for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs) and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Buguey, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	391,733,110.53	364,487,758.52	27,245,352.01
Liabilities	85,306,318.64	77,928,551.30	7,377,767.34
Government Equity	306,426,791.89	286,559,207.22	19,867,584.67
Financial Performance			
Income	190,870,554.15	223,725,544.47	(32,854,990.32)
Expenses	190,034,713.38	170,529,007.80	19,505,705.58
Net Income	835,840.77	53,196,536.67	(52,360,695.90)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Reblocking of Rizal Street	P 2,992,343.52
Concreting of Villa Cielo Road (Phase I)	2,496,398.94
Construction of Suspension Foot Bridge at Sitio Birao	2,173,734.35
Improvement of Legislative Building	1,799,159.26
Conversion of Electrical System (Phase I to Phase III), Municipal Building	1,339,480.80
Land Development of Rizal Park (Phase I)	1,246,947.20
Construction of Operations Center (Phase III)	1,096,891.64
Construction of WHARF	1,065,648.50
Total	**P 14,210,604.21**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Buguey, Cagayan for the year-ended December 31, 2024 due to: (1) non-completion of the one-time cleansing procedures for its PPE and non-submission of the Report on Physical Count of Property, Plant and Equipment, with a net book value of P248,202,189.85; (2) existence of bank and book reconciling items reflected in the Bank Reconciliation Statements totaling P15,609,286.88, which remained unadjusted in the books of accounts of the LGU for a long period of time; and (3) various transactions totaling P8,806,176.06 erroneously charged to "Other Maintenance and Operating Expenses" account.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Disbursement vouchers and its supporting documents covering thirty-six (36) checks amounting to P4,311,088.75 for the period January 1, 2024 to December 31, 2024 were not submitted to the Office of the Auditor, thus, validity, legality, and propriety of the transactions could not be ascertained.

   We recommended that the Municipal Accountant submit immediately the required documents supporting the thirty-six (36) transactions and strictly adhere to COA Circular No. 2009-006 dated September 15, 2009 and COA Circular No. 2012-001 dated June 14, 2012 on the submission of accounts and other reports to avoid administrative sanctions and/or disallowance of said accounts as provided for in Section 39 of Presidential Decree No. 1445.

2. The balance of Due to NGA - Department of Agriculture-Bureau of Soils and Water Management (DA-BSWM) account in the books of the LGU totaling P11,452,000.00 as at December 31, 2024 remained unreconciled with the records of the DA-BSWM due to non-submission of the required liquidation documents, thus, the accuracy and reliability of the said account could not be ascertained.

We recommended that the Municipal Mayor direct the Municipal Accountant to locate the missing liquidation reports and submit the same to settle this liability, and ensure reconciliation of the LGU's accounts with DA-BSWM pursuant to Section 111 of Presidential Decree No. 1445.

3. Various transactions totaling P1,871,054.52 were inappropriately charged to the Gender and Development Fund, thereby, exposing government funds to improper use.

   We recommended that the Management, through the Local Chief Executive, being the Chairman of the GAD Focal Point System, undertake the following courses of action:

   A. Justify/explain the inappropriate use of GAD Fund totaling P1,871,054.52 and the excessive disbursement on Family and Health Care Services Program to avoid suspension/disallowance in audit;

   B. Require the Municipal Budget Officer to strictly monitor the utilization of appropriation of all GAD programs, projects and activities of the LGU and comply with Section 336 of the Local Government Code of 1991; and

   C. Ensure the effective and efficient implementation of the GAD PPAs and the judicious utilization of the GAD budget and comply strictly with Section 35 of the General Appropriations Act of 2024 and Item 2.5 of PCW-NEDA-DBM Joint Circular No. 2012-01 by ensuring that the performance outcomes/indicators of all charges in GAD Fund are linked to the approved Annual GAD Plan and Budget, otherwise, the transactions may be suspended/disallowed in audit.

4. Other Receivables amounting P1,347,908.21 remain dormant for ten (10) years or more due to non-compliance with the guidelines and procedures on the proper disposition, and write-off of dormant accounts, thus, affecting the accuracy and reliability of the Financial Statements.

   We recommended that the Management undertake the following:

   A. Require the Municipal Accountant to prepare necessary adjusting entries to revert the entries made to the Other Receivables account totaling P72,760.95, since these are not properly supported with the required documents in compliance with COA Circular 2012-001 dated June 14, 2012;

   B. Direct the Municipal Accountant to conduct regular and periodic verification, analysis, and validation of receivables to ensure its accuracy and existence;

C. For dormant accounts where records and documents are no longer available, the Head of the Agency shall create an Investigation Committee to determine the cause/s of loss or destruction of documents, identify the officials and employees liable for such loss, and look into the absence or presence of negligence on the part of the Accountable Officer; and

D. Initiate the request for authority to write-off the dormant Other Receivables account, and comply with guidelines and procedures on the proper disposition and write-off/derecognition of dormant accounts outlined in COA Circular No. 2023-008 dated August 17, 2023.

5. Stale checks amounting to P1,095,693.81 as of December 31, 2024 remained unadjusted in the book of accounts, thus, casting doubt on the accuracy, propriety and reliability of the Cash in Bank account.

   We recommended that the Management undertake the following courses of action:

   A. The Municipal Accountant draw the adjusting journal entry to restore the cash and liabilities pertaining to the stale checks to present fairly the recorded balance of the Cash in Bank and Accounts Payable accounts and shall adjust its books regularly and promptly whenever checks issued become stale;

   B. The Municipal Accountant and Municipal Treasurer coordinate in the monitoring of the status of all approved checks on a regular basis; and

   C. The Municipal Treasurer develop internal rules and procedures in ensuring that all approved checks will be released promptly to payees to avoid or decrease the existence of stale checks due to unclaimed checks.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	32,346,198.08	-	-	32,346,198.08	-
Current Year	-	-	-	-	-
Total	**32,346,198.08**	**-**	**-**	**32,346,198.08**	-
Disallowances					
Prior Years	1,230,115.17	**-**	318,827.06	911,288.11	25.92%
Current Year	**-**	**-**	**-**	-	-
Total	**1,230,115.17**	**-**	**318,827.06**	**911,288.11**	**25.92%**
Charges			-		

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the twelve (12) audit recommendations in the CY 2023 Annual Audit Report, four (4) were fully implemented, four (4) were partially implemented, and four (4) were not implemented and reiterated in Part II of this Report.